

Skolara — live tutoring for secondary school students

The Problem

A fifteen-year-old falling behind in mathematics in a class of thirty-four does not get more attention. The teacher has a curriculum to finish. The gap that opens in year nine becomes the reason the student drops the subject in year eleven, and the families who can afford private tutoring fix it while the families who cannot do not.

Private tutoring in our markets costs the equivalent of \$22 to \$40 an hour. For most households that is not a budget line that exists.

Our Solution

Skolara runs small-group live tutoring — four students to one tutor — in mathematics, physics and chemistry, in the evenings, online.

Sessions follow the national curriculum of each market we operate in. Every session is recorded, and a student who misses one watches it back with the exercises attached. Tutors are practising or recently retired teachers, recruited and trained by us, and each cohort keeps the same tutor for a full term so that the tutor actually knows where each of the four students is stuck.

The pedagogy is the part we have invested in and it is the part that works.

The Market

Private supplementary education is a large and old market — estimated at \$65B across the regions we operate in — and it grows whenever public education is under pressure, which is continuously.

Our markets have a combined secondary school population of around 31 million, of whom roughly a quarter receive some form of paid tutoring.

Competition

Two large tutoring platforms operate one-to-one at three times our price. Several national players run in-person centres. Free content is abundant and does not solve the problem, because the problem was never access to explanation.

The Team

Adaeze Nwankwo taught secondary mathematics for eight years and was head of department. Ruben Castellanos built and ran operations at a marketplace business.

Ninety-one people, of whom sixty-two are tutors on our payroll rather than contractors.

Traction

- 34,000 students enrolled across three countries

- 71% of enrolled students complete a full term
- measured improvement of 1.4 grade points on average across two terms, against a control group of non-enrolled students in the same schools
- 4.8 of 5 parent satisfaction
- 44% of new enrolments come from parent referral

The learning outcomes are independently measured and we stand behind them. This part of the company does what it says.

Business Model

\$34 a month per student for two sessions a week.

Revenue last year was \$13.9M. We lost \$11.2M.

The arithmetic is not complicated and we will not dress it up. Tutor cost is \$19 per student per month. Platform, support and operations add \$9. Acquisition cost is \$61 per enrolled student against an average enrolment length of seven months.

We have raised prices twice in three years and lost enrolments both times, which is the constraint: the families we are built for are the families who cannot absorb a price increase. We have reduced tutor pay once, and lost tutors.

We have not found a version of this business that is profitable at a price our students can pay, and we have been looking for three years.

Go-To-Market

School partnerships in two countries, parent referral, and paid social around examination periods.

Funding

We are raising \$25M, which at the current burn funds roughly twenty months. We would use it to grow into a fourth market, where the same unit economics would apply.